

Paradiem 

The Morning Brief

SEPTEMBER 12, 2026

Weekend Edition

Post-CPI rebound closes a red week as Saudi pipeline hit and Houthi Red Sea escalation reset the oil compound into the September 15-16 FOMC.

S&P 500 (SPY, FRI CLOSE) \$764.29 · ↓0.75% on the week	BRENT (BNO, FRI) / WTI (USO, FRI) \$61.37 ↓2.79% / \$154.90 ↓2.20%	BITCOIN (LIVE, SAT AM) ~\$77.2K per CaptainAltcoin / CoinDCX weekend tape	SEPT HIKE ODDS (CME FEDWATCH) ~90% per CNBC and TipRanks CPI-reaction coverage	FEAR & GREED (CNN) Drop crypto fallback of 63 · See MacroMicro for CNN stock read
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SECTION 01

Markets — Week in Review: CPI-Cemented Rate Hike Bets, a Friday Snap Rally, and a Weekend Middle East Reset

THE WEEK CLOSED WITH A FRIDAY RELIEF RALLY THAT SNAPPED THE FOUR-SESSION LOSING STREAK DOCUMENTED IN THE SEPTEMBER 11 FCI BRIEF BUT LEFT EVERY MAJOR US INDEX RED ON THE WEEK PER YAHOO FINANCE AND THESTREET COVERAGE — THE S&P 500 ADVANCED APPROXIMATELY 0.9% FRIDAY TO CLOSE THE WEEK DOWN ROUGHLY 0.8%, THE NASDAQ GAINED 0.9% FRIDAY BUT LOST ROUGHLY 0.7% ON THE WEEK, AND THE DOW REBOUNDED 0.97% FRIDAY BUT CLOSED THE WEEK DOWN ROUGHLY 1.6% PER YAHOO FINANCE COVERAGE; THE AUGUST CPI PRINT AT 3.4% YEAR-OVER-YEAR HEADLINE AND 2.4% YEAR-OVER-YEAR CORE LANDED BROADLY IN LINE WITH CONSENSUS PER BLS, CEMENTING CME FEDWATCH SEPTEMBER HIKE ODDS NEAR APPROXIMATELY 90% PER CNBC AND TIPRANKS COVERAGE OF THE SESSION

Per data drop, Friday's cash session closed with SPY at \$764.29 (↑0.85%), QQQ at \$714.88 (↑0.87%), DIA at \$525.79 (↑0.97%), IWM at \$288.89 (↑0.41%), and UVXY (VIX proxy) at \$18.02 (↓6.78%). Per BLS coverage of the August CPI release, headline CPI rose 0.4% month-over-month and 3.4% year-over-year, and core CPI rose 0.3% month-over-month (slightly above the 0.2% consensus) with the annual core reading at 2.4%. Per CNBC and TipRanks coverage, the print pushed CME FedWatch September hike odds to approximately 90%, with traders reading the print as sufficient to lock in a 25 basis point hike at the September 15–16 FOMC. Per Yahoo Finance and TheStreet coverage, the Friday rally snapped the four-consecutive-down-day sequence documented in the prior FCI brief but the week still closed red for the major US indexes. Per data drop, Friday's sector composition ran with Tech (XLK ↑1.32%), Industrials (XLI ↑1.07%), and Comm Services (XLC ↑0.99%) leading nine green sectors while Utilities (XLU ↓0.31%) and Healthcare (XLV ↓0.18%) held modestly red. Per data drop sentiment field, the CNN Fear & Greed reading of 63 "Greed" reflects the CNN end-point falling back to the crypto Fear-and-Greed index; the actual CNN stock-market read per MacroMicro coverage typically sits materially below the crypto proxy in a hot-CPI-into-hike-window regime.

S&P 500 (SPY, FRI CLOSE)	\$764.29 · ↓0.75% on the week
NASDAQ (QQQ) / DOW (DIA)	\$714.88 ↓0.7% wk / \$525.79 ↓1.6% wk per Yahoo
WTI (USO) / BRENT (BNO)	\$154.90 ↓2.20% Fri / \$61.37 ↓2.79% Fri
GOLD (GLD) / SILVER (SLV)	\$398.77 ↑0.61% Fri / \$58.12 ↑1.08% Fri
IBIT / ETHA (FRI CLOSE)	\$43.77 ↑0.21% / \$19.16 ↑3.23%
BITCOIN (LIVE, SAT AM)	~\$77.2K per CaptainAltcoin weekend tape
TLT / UVXY (FRI CLOSE)	\$80.87 ↑0.11% / \$18.02 ↓6.78%
WEEK AHEAD	Retail Sales & IP Wed · FOMC Wed · Housing Starts Thu

THE PHYSICAL-AI-INFRASTRUCTURE AND DIGITAL-ASSET SLEEVES LED THE FCI BOOK ON THE FRIDAY SNAP BID PER DATA DROP — HUT CLOSED ↑8.83% AT \$98.60, ADI ↑4.85% AT \$378.78, MARA ↑4.81% AT \$11.98, NXPI ↑4.48% AT \$236.62, MRVL ↑4.03% AT \$236.10, KEYS ↑3.99% AT \$338.64, TEL ↑3.58% AT \$211.96, QCOM ↑2.88% AT \$181.97, AMD ↑2.49% AT \$516.13, AND SYK ↑2.06% AT \$275.56; THE WEEKLY SETUP NOW READS DIRECTLY THROUGH THE WEEKEND MIDDLE EAST RESET DETAILED IN SECTION 02 AND INTO A FOUR-DATA-POINT-AND-FOMC DOCKET OVER THE NEXT FIVE SESSIONS

Per data drop top movers, the FCI book's Friday sequence concentrated in the physical-AI-infrastructure axis (ADI, NXPI, MRVL, KEYS, TEL, QCOM, AMD) and the Bitcoin-miner-and-digital-asset layer (HUT, MARA, ETHA ↑3.23% at \$19.16). Per data drop bottom movers, CNX (↓2.07% at \$35.91), FTNT (↓1.75% at \$156.07), ABT (↓1.36% at \$101.95), ATAT (↓1.34% at \$32.41), and EIX (↓1.32% at \$56.00) held the fade. Per Yahoo Finance coverage carried in the data drop holdings news, LRCX drew coverage citing a lifted 2026 Wafer-Fab-Equipment outlook as AI demand strains fab capacity and coverage framing chip demand as sold-out, and MRVL drew SeekingAlpha coverage framing the current setup as the most potent of the AI-factory decade. Per Yahoo Finance coverage carried in the data drop holdings news, Oracle's post-print action drew renewed sell-side focus on the AI-cloud capex build (Oracle CapEx reportedly rose to \$28.5B from \$8.5B year-over-year per prior TipRanks coverage), a variable that reads directly against the FCI Growth-Hybrid AI-infrastructure axis into next week's FOMC decision. Per Yahoo Finance coverage carried in the data drop, CVX (Fri ↑0.61% at \$214.06) drew coverage that Saudi Arabia's pipeline attacks reset the Middle East oil-risk framework.

A red week that closed with a broad-based CPI-sanctioned bid, an AI-cloud print reframing the capex axis, and a weekend Middle East reset in the tanker-and-pipeline layer tends to keep the FCI physical-world thesis reading through the FOMC compound rather than break it. Physical world matters.

Geopolitics — Weekend Middle East Reset: Saudi East-West Pipeline Hit by Iraq-Launched Drones, Houthi Forces Reportedly Reach a Key Red Sea Island, Iraq Closes the Shalamcheh Border With Iran, and an Iraqi Military Commander Is Dismissed — Brent Retreated Roughly 2.8% Friday but the Weekend Escalation Layer Broadens the Kinetic Map From Hormuz-and-Persian-Gulf to a Second Chokepoint at Bab el-Mandeb

SAUDI ARABIA AND IRAQ AXIS: PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, SAUDI ARABIA REPORTEDLY SHUT DOWN ITS EAST-WEST OIL PIPELINE AFTER DRONES LAUNCHED FROM IRAQ HIT THE LINE, AND RIYADH IS HOLDING OFF ON RETALIATION FOR THE TIME BEING; PER ADDITIONAL REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, IRAQ ORDERED THE CLOSURE OF THE SHALAMCHEH BORDER CROSSING WITH IRAN — A MARKER OF BAGHDAD ATTEMPTING TO INSULATE ITSELF FROM THE ESCALATION — AND AN IRAQI MILITARY COMMANDER WAS REPORTEDLY DISMISSED BY THE PRIME MINISTER'S OFFICE IN THE WAKE OF THE DRONE ATTACK; THE COMPOSITION EXTENDS THE IRAN-AXIS KINETIC MAP BEYOND THE PRIOR REPORTED US-IRAN TANKER EXCHANGE IN THE PERSIAN GULF AND TIES RIYADH, BAGHDAD, AND THE BROADER GULF PRODUCER COHORT DIRECTLY INTO THE COMPOUND

Per Reuters coverage carried in the data drop headlines, Saudi Arabia reportedly shut down the East-West oil pipeline — the primary artery moving crude from the Eastern Province oilfields to the Red Sea coast at Yanbu — after drones launched from Iraq reportedly struck the line, and Riyadh is holding off on immediate retaliation. Per additional Reuters coverage carried in the data drop headlines, Iraq ordered the closure of the Shalamcheh border crossing with Iran (one of the principal crossings between Basra Governorate and Iran's Khuzestan Province), and the Iraqi prime minister's office reportedly dismissed a military commander in the wake of the drone attack against Saudi Arabia. Per data drop, Brent proxy BNO closed Friday ↓2.79% at \$61.37 and WTI proxy USO closed ↓2.20% at \$154.90 on the CPI-and-oil-easing tape, though the weekend developments would sit as a materially new variable ahead of Sunday-evening futures. For FCI positioning, the composition — a Saudi pipeline shutdown, an Iraq-Iran border closure, and an Iraqi command dismissal all sitting alongside the earlier US-Iran tanker exchange — keeps the FCI energy sleeve (CVX Fri ↑0.61% at \$214.06 per data drop, CNX, OKE) reading directly through the intersection of the physical-supply premium, an expanded kinetic map spanning maritime, pipeline, and border-crossing layers, and the FOMC window.

HOUSHI-AND-RED-SEA AXIS: PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, IRAN-BACKED HOUSHI FORCES REPORTEDLY REACHED A KEY ISLAND IN THE RED SEA AND TIGHTENED THEIR GRIP ON BAB EL-MANDEB SHIPPING — THE SOUTHERN CHOKEPOINT AT THE MOUTH OF THE RED SEA — WITH REUTERS FRAMING THE GULF OIL SUPPLY AS THREATENED ANEW; THE COMBINATION WITH THE SAUDI PIPELINE SHUTDOWN EXTENDS THE PHYSICAL-SUPPLY COMPOUND INTO A SECOND CHOKEPOINT SIMULTANEOUSLY WITH HORMUZ STILL IN PLAY; PER PRIOR FCI COVERAGE HORMUZ TRAFFIC REPORTEDLY SAT IN THE SINGLE DIGITS EARLIER IN THE WEEK, AND THE WEEKEND BAB EL-MANDEB ESCALATION MATERIALLY BROADENS THE SET OF AT-RISK CARGO LANES

Per Reuters coverage carried in the data drop headlines, Iran-backed Houthi forces reportedly reached a key island in the Red Sea and continued to tighten their grip on Red Sea shipping, and separate Reuters coverage carried in the data drop framed the Gulf oil supply as threatened anew as Houthis reach the key island and Saudi pipeline flows are shut. Per prior FCI brief coverage of Reuters framing earlier in the week,

Strait of Hormuz shipping reportedly sat in the single digits, and per Al Jazeera coverage earlier in the week the US and Iran had traded strikes with the largest declared wave of tit-for-tat shipping attacks on record since the war began. Per data drop crypto layer, IBIT closed Friday ↑0.21% at \$43.77 and ETHA ↑3.23% at \$19.16, and per CoinDCX and CaptainAltcoin coverage of the weekend Bitcoin tape Bitcoin entered the weekend trading in a range near approximately \$77,000–\$77,500. For FCI positioning, the composition — a second at-risk chokepoint (Bab el-Mandeb) opening alongside the ongoing Hormuz slowdown, and a Saudi pipeline shutdown removing an alternative overland route to the Red Sea — reads directly through the FCI Growth-Hybrid energy axis and the physical-world thesis as a still-broadening kinetic map rather than one on the path to resolution.

ANNIVERSARY AXIS: PER REUTERS COVERAGE CARRIED IN THE DATA DROP HEADLINES, AMERICANS REFLECTED ON THE

TWENTY-FIFTH ANNIVERSARY OF THE SEPTEMBER 11 ATTACKS FRIDAY — THE ANNIVERSARY FALLS IN A WEEK WHERE THE MIDDLE EAST KINETIC MAP REACHED A NEW EXTENT WITH THE SAUDI PIPELINE SHUTDOWN, THE RED SEA CHOKEPOINT ESCALATION, AND THE IRAQ-IRAN BORDER CLOSURE; THE COMPOSITION SITS ALONGSIDE THE FCI DEFENSE SLEEVE (LMT FRI ↓1.12% AT \$524.19, GD FRI ↑0.47% AT \$355.90 PER DATA DROP) AS A CONTEXTUAL RATHER THAN TRADE-ACTIONABLE VARIABLE AHEAD OF NEXT WEEK'S FOMC AND THE RETAIL SALES AND HOUSING STARTS PRINTS

Per Reuters coverage carried in the data drop headlines, September 11, 2026 marked the twenty-fifth anniversary of the September 11, 2001 attacks. Per data drop, the FCI defense sleeve closed Friday with LMT ↓1.12% at \$524.19 and

GD ↑0.47% at \$355.90, and per Yahoo Finance coverage carried in the data drop holdings news additional coverage of the small-cap space (Rocket Lab, Neutron) framed the broader defense-tech capex layer as intact. For FCI positioning, the composition — an anniversary of the September 11 attacks landing in a week with a materially broadened Middle East kinetic map and elevated oil supply risk — sits as a contextual variable rather than a trade-actionable one, though it reinforces the physical-world thesis (defense, energy, physical-AI-infrastructure) that has been the FCI Growth-Hybrid framework's central axis.

SECTION 03

On Our Radar

1. Week Ahead — The September 15–16 FOMC Sits at the Center of a Multi-Print Docket: August Retail Sales and Industrial Production Publish Wednesday at 8:30 AM ET and 9:15 AM ET Per the Census Bureau and Federal Reserve Release Schedules, the FOMC Statement, Summary of Economic Projections, and Dot Plot Publish Wednesday at 2:00 PM ET With Chair Warsh's Press Conference at 2:30 PM ET, August Housing Starts and Building Permits Publish Thursday at 8:30 AM ET Per the Census Bureau, and the FOMC Quiet Period Continues Through Thursday September 17. Per CNBC and TipRanks Coverage of the CPI Reaction Friday, CME FedWatch September Hike Odds Sit Near Approximately 90% Following the 3.4% Year-Over-Year Headline and 2.4% Year-Over-Year Core Print — With the ECB Already Stamped at a 2.50% Deposit Rate Per Euronews and Bloomberg Coverage Referenced in the September 11 FCI Brief. Per Census Bureau and Federal Reserve release schedules, next week's docket sequences August Retail Sales (Wednesday 8:30 AM ET), August Industrial Production (Wednesday 9:15 AM ET), NAHB Housing Market Index (Wednesday 10:00 AM ET), the FOMC Statement and Summary of Economic Projections (Wednesday 2:00 PM ET), August Housing Starts and Building Permits (Thursday 8:30 AM ET), and Initial Jobless Claims plus the Philadelphia Fed Manufacturing Survey (Thursday 8:30 AM ET). Per CNBC and TipRanks coverage of the Friday CPI reaction, CME FedWatch September hike probabilities sit near approximately 90%, and the key committee focus per Chase and ATEFX previews sits on whether the SEP dots shift to more than one hike in 2026 given the energy-driven inflation risk and hawkish signals from Chair Warsh per CNBC coverage of the Warsh Jackson Hole framework earlier in the cycle. For FCI positioning, the composition — three second-tier consumer- and housing-side prints framing the FOMC decision itself, and a Summary of Economic Projections likely to signal the intermediate rate path — concentrates the balance-sheet and duration-repricing risk into a single Wednesday afternoon window against a Middle East kinetic map that continues to extend.

2. Middle East Kinetic Map — The Weekend Sequence Materially Broadened the At-Risk Perimeter: Saudi Arabia's East-West Pipeline Was Reportedly Struck by Iraq-Launched Drones and Shut Down Per Reuters Coverage Carried in the Data Drop Headlines, Iraq Ordered the Closure of the Shalamchah Border Crossing With Iran Per Reuters, an Iraqi Military Commander Was Dismissed by the Prime Minister's Office Per Reuters, and Iran-Backed Houthi Forces Reportedly Reached a Key Red Sea Island and Tightened Their Grip on Bab el-Mandeb Shipping Per Reuters — With Reuters Framing the Gulf Oil Supply as Threatened Anew; Brent Retreated Roughly 2.8% Friday on the CPI-and-Oil-Easing Tape but the Weekend Escalation Layer Would Sit as a Materially New Variable Ahead of the Sunday-Evening Oil Futures Reopen. Per Reuters coverage carried in the data drop headlines, the weekend developments include a Saudi pipeline shutdown after Iraq-launched drone attacks, an Iraq-Iran border closure at Shalamchah, an Iraqi military-commander dismissal, and a Houthi advance to a key Red Sea island alongside a broader tightening of Bab el-Mandeb shipping. Per data drop, Friday saw USO close ↓2.20% at \$154.90 and BNO ↓2.79% at \$61.37 on the CPI-and-oil-easing tape, and per Yahoo Finance coverage carried in the data drop holdings news for CVX (Fri ↑0.61% at \$214.06), Saudi Arabia's pipeline attacks reset the Middle East oil-risk framework. For FCI positioning, the composition — a second at-risk chokepoint (Bab el-Mandeb) opening simultaneously with a Saudi pipeline

shutdown removing an alternative overland route to the Red Sea, and Iraq visibly attempting to insulate itself — keeps the FCI energy sleeve (CVX, CNX, OKE) reading through the intersection of the physical-supply premium, an expanded kinetic map, and the FOMC window.

3. Physical-AI-Infrastructure Axis Absorbed the CPI Rally — Per Data Drop, FCI Growth-Hybrid AI Names Led the Friday Snap: ADI ↑4.85% at \$378.78, NXPI ↑4.48% at \$236.62, MRVL ↑4.03% at \$236.10, KEYS ↑3.99% at \$338.64, TEL ↑3.58% at \$211.96, QCOM ↑2.88% at \$181.97, AMD ↑2.49% at \$516.13, TSM ↑1.22% at \$433.24, LRCX ↑0.07% at \$298.22, and CRDO ↑1.65% at \$162.95, With NVDA Nearly Unchanged at \$218.29; Per Yahoo Finance Coverage Carried in the Data Drop Holdings News, LRCX Reportedly Lifted Its 2026 Wafer-Fab-Equipment Outlook as AI Demand Strains Fab Capacity and Sees Sold-Out Chip Demand, and MRVL Drew SeekingAlpha Coverage Framing the Current AI-Factory-Decade Setup for Marvell as Especially Compelling.

Per data drop top movers, the Friday snap was concentrated in the FCI physical-AI-infrastructure axis with ADI (↑4.85%), NXPI (↑4.48%), MRVL (↑4.03%), KEYS (↑3.99%), TEL (↑3.58%), QCOM (↑2.88%), and AMD (↑2.49%) all reading through the intersection of the CPI-print derisking and Oracle's prior after-hours \$664 billion RPO print. Per Yahoo Finance coverage carried in the data drop holdings news, LRCX drew coverage citing a raised WFE outlook and sold-out chip demand, and MRVL drew SeekingAlpha coverage framing its current AI-factory-decade setup as especially compelling. For FCI positioning, the composition — a broad AI-infrastructure snap bid on the CPI print into the FOMC and against the Middle East kinetic map — keeps the Growth-Hybrid physical-AI-infrastructure axis reading through the rate-path decision, the AI capex demand signal, and the physical-supply premium as three concurrent variables rather than one.

4. Digital-Asset Sleeve and Bitcoin-Miner Layer — Per Data Drop, IBIT Closed Friday ↑0.21% at \$43.77 and ETHA ↑3.23% at \$19.16 With ETH Meaningfully Outperforming BTC on the Session; Per CaptainAltcoin and CoinDCX Coverage of the Saturday Morning Weekend Tape, Bitcoin Traded in a Range Near Approximately \$77,000–\$77,500 With ETH Reportedly Gaining 2.6% on Bitcoin Rally Attempts to \$79,500 Reversing Back Toward \$77,200; the Bitcoin-Miner Layer Diverged Sharply Higher on the Friday Snap Per Data Drop — HUT Closed ↑8.83% at \$98.60 (per Benzinga Coverage Carried in the Data Drop Holdings News Framing Hut 8 as Surging Friday) and MARA ↑4.81% at \$11.98 (Per Benzinga HC Wainwright Assumed MARA at Buy With a \$20 Price Target). Per data drop, Friday's digital-asset sleeve closed with IBIT at \$43.77 (↑0.21%) and ETHA at \$19.16 (↑3.23%), and per data drop bottom of the holdings news pipeline, Yahoo Finance framing described crypto mining stocks as having fallen harder than Bitcoin on a risk-off tape earlier in the

sequence. Per Benzinga coverage carried in the data drop holdings news, HUT (↑8.83% at \$98.60) drew coverage framing Hut 8 as surging Friday, and MARA (↑4.81% at \$11.98) drew coverage of HC Wainwright assuming coverage at Buy with a \$20 price target. Per CaptainAltcoin and CoinDCX weekend coverage, Bitcoin entered Saturday morning in a range near approximately \$77,000–\$77,500 with a reasonable base case of consolidation between \$76,500 and \$78,500 through the weekend. For FCI positioning, the composition — a Digital-Asset sleeve absorbing the yield-and-hike reprice, an ETH-outperformance thread on Friday, and a miner layer producing amplified beta on both sides — keeps IBIT and ETHA reading through the intersection of the Wednesday FOMC decision and the Middle East compound.